

INDICATORS THAT WILL BE USED AND THE RULE BOOK:

MAIN WINDOW

1. ***#8 Cobalt BB***: period = 20 deviation = 1.000 Apply to= Close
2. ***#7 White BB***: period = 30 deviation =1.000 Apply to= Close

LOWER PANEL WINDOW

3. ***#2 Green BB***: period = 17 deviation = 2.618 Apply to= Previous indicator's data
4. ***#1 White BB***: period = 34 deviation = 1.618 Apply to= Previous indicator's data
5. ***#3 Magenta SMA***: period = 7 Apply to= Previous indicator's data
6. ***#6 Cobalt RSI***: period = 9
7. ***#5 Red CCI***: period = 6
8. ***#4 Brown %R***: period = 60

MAIN WINDOW* *(UPPER PANEL)

#7 (7U, 7M and 7L) Bollinger band(White)

#8 (8U, 8M and 8L)

Bollinger band(Cobalt)

INDICATOR WINDOW* *(LOWER PANEL)

#1 (1U, 1M and 1L) Bollinger band(White)

#2 (2U, 2M, and 2L) Bollinger band(Green)

#3 %William(Brown)

#4 Moving Average(Magenta)

#5 CCI(Red)

#6 RSI(Cobalt blue)

#1 (1U, 1M and 1L) are fixed(Stationary) while the other numbered indicators are motional, leading to crossing over of the #1 bands indicator.

#2 (2U, 2M and 2L) moves to cross above or below #1 bands. One or two or all of the band can cross above or below #1 bands depending on the trade direction.

#7 bands and #8 bands moves in trade direction, uptrend or downtrend.

But #8(8U, 8M and 8L)

is the bands that crosses above or below the #7 (7U, 7M and 7L) that determine trade execution.

The indicators #3, and #6 are not used to determine trade execution.

Only indicators #4 and #5 are used for trade execution.

The #3, #4, #5 and #6 Indicators are trend follower indicators for the candlesticks price movement. In real time trading, #3, #4, #5 and #6 will move as the trade is progressing. For an

uptrend #3, #4, #5 and #6 will move from below crossing #1 bands and also crossing #2 bands going up.

For a downtrend #3, #4, #5 and #6 will move from above crossing #1 bands and also crossing #2 bands going down.

And

#3, #4, #5 and #6 will move making higher/high or lower/low depending on the trade direction as they crosses #1 bands and #2 bands.

I will start by describing the trade execution call when price is making higher/high when #2 bands

will be crossing from below #1 bands going up in the lower panel window and #8 bands will also be crossing from below

#7 bands going up in the main price window.

It is only when any of #2 bands has crossed above the #1(1U) in the lower panel window and #8(8U) has crossed above

#7(7U) in main price window and remains above will we be looking for signal for "SELL" trade.

Same also applies to when price is making lower/low and #2 bands will be crossing from above #1 bands going down in the lower panel window and #8 bands will also be crossing from above #7 bands going down in the main price window.

It is only when any of #2 bands has crossed below the #1(1L) in the lower panel window and #8(8L) has crossed below

#7(7L) in main price window and remains below will we be looking for signal for "BUY" trade.

When the above has occurred, comes next the part that #4, and #5 will play for final trade calls for either buy or sell.

For an uptrend, #3, #4, #5 and #6 will move in the direction of the trend and either start from below #1(White) band crossing up and above #1(1U)(White), making higher/high as they crosses the #1(White) bands. The most important indicators among #3, #4, #5 and #6 are the #4 indicator colored Magenta and #5 indicator colored Red. As the candlesticks(price) makes higher/high, the #5(Red) will also be making higher/high. The decision to sell will occur while the candlesticks(price) is making higher/high, the #5(Red line) then makes higher/low(divergence) and this instance will only make a valid sell decision when #8(8U, Cobalt) has crossed above #7(7U, White) and remains above. If at any time the #5(Red line) makes higher/low, but #8(8U, Cobalt) is not above #7(7U, White), that calls for sell becomes invalid and candlesticks(price) will continue the uptrend moves and the #5(Red) will revert back to making higher/high.

One thing of note is that for each crossing of #2(2U, 2M, 2L)(Green) bands, immediately start looking for the #5(Red) to either make higher/high or higher/low as candlesticks (price) is making higher/high. It is only when any of the #2(2U, 2M, 2L)(Green) crosses of any of the #1(1U, 1M, 1L) and #5(Red) makes higher/low and candlesticks(price) making higher/high and #8(8U)(Cobalt) is above #7(7U)(White) going up that the trade decision to sell becomes

confirmed and valid. It is of important to note too that any of #2(Green) bands cross of any of #1(White) bands will follow with another of the bands also crossing before #5(Red) either making higher/high or higher/low will be confirmed and so the next immediate one to cross will be used as a determinant for the trade decision, and if there is no immediate one crossing and #5(Red) makes higher/low and the other conditions that are to be met are okay, then trade decision can be considered confirmed on that crossing of any of the #2(2U, 2M, 2L)(Green) bands across any of the #1(1U, 1M, 1L)(White) bands going up.

While the above is happening, if #8(8L)(Cobalt) crosses above #7(7M)(White) going up, then wait until the #8(8L)(Cobalt) recrosses back the #7(7M)(White) going down before considering any valid trade decision with all other conditions met.

Although #3 and #6

are used in the chart, they don't necessarily contribute to the trading decision, but are very important in the indicators template, because if any of them or the two is removed in the indicators set up orders, then you will be seeing a different setup than the desired one.

And for a downtrend, the reverse is the case as above(vice versa).

For the final filter, when the above are confirmed, indicator #4(Magenta) will make higher/low and within the #7 bands in an uptrend direction for trade decision to be fully confirmed for sell decision and lower/high within the #7 bands in a downtrend direction for trade decision to be fully confirmed for buy decision.

If in the main price window, the #8(8L) crosses the #7(7M) going up in an uptrend direction trade, wait for the #8(8L) to recross the #7(7M) going down before any condition for sell can be valid again.

Also, If in the main price window, the #8(8U) crosses the #7(7M) going down in a downtrend direction trade, wait for the #8(8U) to recross the #7(7M) going up before any condition for buy can be valid again.